

UNIT EIGHT

COLLECTIVE EXPLOITATION OF PROPERTY

DEFINITION AND NATURE OF PUBLIC DOMAIN

Not all property of the state, and its various administrative units and the municipalities are subject to the same rules. Some of them form part of the public domain while others form the private domain of the state. Things or property forming part of the private domain of the state are treated in the same manner as the private property of individuals and are governed by the rules governing privately owned property. On the other hand, property forming part of the public domain of the state are governed by the rules dealing with collective exploitation of property rather than the rules governing privately owned property. For instance, properties owned by the public enterprises such as the Commercial Bank of Ethiopia, Muger Cement Factory, Harar Brewery...etc are considered as the private domain of Ethiopia, while the buses owned by the Anbesa City Bus Services, Black Lion Hospital, Atse Yohannes School...etc are considered as the public domain of Ethiopia.

Having said this much, by way of introduction, let us see the definitions provided by the Ethiopian Civil Code. **Art 1445** of the Civil Code defines public domain as a property belonging to the state or its various administrative units or organs and which is directly placed at the disposal of the public or which is destined to public service. Furthermore, Arts 1446, 1147 and 1148 enumerate things that are considered as public domain where they are owned by the state;

- Roads, streets, canals and railways and public parks
- Seashores, port installations and light houses
- Buildings specially adapted for public services such as fortifications, bomb shelters, museums, halls, churches and mosques
- Waterways, lakes and underground accumulations of water
- Land and other natural resources/ Art 40 of the Constitution of the Federal Democratic Republic of Ethiopia/
- Movable things that are placed at the disposal of the public by a public service or entrusted to the custody of a public service such as city buses, manuscripts, artifacts and various other chattels of historical and archeological importance kept in museums
- National libraries and museums, manuscript collections, books, medal, stamps, paintings, statues & other movables are also considered as public domain.
- One of the basic characteristics of properties forming part of the public domain is that they are inalienable. In other words, they cannot be transferred by sale or inheritance or donation or any other mode of transfer unless they are declared that they no longer form part of the public domain. See Art 1454 of the Civil Code.

- In addition to this, properties forming part of the public domain may not be acquired by possession in good faith or usucaption or acquisitive or extinctive prescription. See Art 1455 of the Civil Code.
- Finally, properties forming part of the public domain may not be occupied by a private person without the authorization of a competent public authority. See Art 1456 of the Civil Code.

EXPROPRIATION

DEFINITION

Various legal systems adopt various terminologies to refer to expropriation. Most Civil Law countries including Ethiopia use the term expropriation, while most Common Law countries including the US and the UK use terms such as eminent domain, compulsory sale or condemnation.

Generally, expropriation or eminent domain may be defined as the power of a sovereign state to take or authorize the taking of private property for public purpose or use without the owner's consent but conditioned up on payment of commensurate/just compensation in advance.

This power of the state is said to be the natural extension of its sovereignty and derived, according to the contractarians/ the proponents of the social contract theory of the state/, from the will of the people/ citizens which transferred some of their rights to the state for purpose of achieving peace, order and security of life and property.

Here it is important to distinguish expropriation from police power, which is a power of the state to make sure that private property is used /enjoyed in accordance with rules and regulations intended to ensure public safety, peace and health. For example, demolishing buildings constructed in violation of safety rules and urban planning, infested buildings, quarantining or culling of animals infected with deadly transmissible diseases ...etc are manifestation of police power and as they do not involve the transfer of the property to the state, while expropriation involves the transfer of the property to the state for the purpose of, for instance, construction of roads, hospitals schools...etc and the provision of public services. In addition, this power is exercised without payment of compensations as opposed to expropriation, which presupposes compensation.

Art 1460 of the Civil Code defines expropriation as a proceeding whereby the competent authorities compel an owner [against payment of commensurate compensation in advance see Arts 1470-78 of the code] to surrender the ownership of immovable required for public purposes. It can also be used to acquire or extinguish usufruct, servitude or other property rights /rights in rem/ on an immovable or it may be used for terminating, prior to the agreed term, a contract of lease relating to an immovable owned by public authorities.

According to Art 40(8) of the FDRE Constitution private property shall not be taken or expropriated by the state unless it is required for public purposes or use and unless compensation that is equal to the value of the property is paid in advance. This provision prohibits even equivalent exchanges unless the government is acting for a public use. Though, under the current land holding system, land and all other natural resources are owned by the state and peoples of Ethiopia, the land holding rights enjoyed by citizens still may be expropriated where such land is required for public purposes, i.e., construction of roads, schools, hospitals, town planning ...etc against payment of compensation, which shall be equivalent to amount of damage incurred by the holders.

INDIRECT EXPROPRIATION

Where the work or project intended does not seriously impair the rights of the owner or the possessor or does not notably reduce the value of the immovable, for example installation of underground pipes, aerial lines, electric or telephone poles, the competent authorities may use indirect expropriation. In other words, such authorities or service providers may undertake such works without the need to follow the procedures required for expropriation. However, the competent authorities may not use indirect expropriation to acquire or extinguish ownership of dwelling houses. The person whose right is affected by this procedure has the right to claim with in a period of three years of the completion of the work, a compensation for the damages he suffered as a result. See Arts 1485-1488 of the civil code.

PUBLIC PURPOSE

Public purpose is a crucial element/requirement before the expropriation of private property. It is a requirement of due process of law in the context of expropriation, and failure to comply with it may render the taking of private property unlawful and unconstitutional. See Art 40/8/ cum 9/1/ of the FDRE Constitution. Furthermore, taking of private property for purposes other than “public purposes” leads to violation the right to property of individuals and abuse of the power by the government that in turn creates insecurity and ultimately discourages investment and commerce. This is because individuals will be discouraged from acquiring and improving property, expanding their holdings and investment if a government is free to force owners to surrender their properties for any purpose including, the benefit of another individual.

As to what constitutes public purpose, however, is open for debate and it differs from time to time and from system to system. Generally, there are two main views as to what the concept refers to.

The first view holds that public purpose is equivalent to public benefit, utility or advantage. Hence, any taking which tends to enlarge resources, increase industrial energy and productive power of any substantial number of inhabitants or a section of the state or a purpose which leads to the growth of towns and creation of new resources for the employment of capital and/or labor,

which contributes to the general welfare and prosperity of the whole community serves a public purpose and is justifiable.

According to this view, expropriation of private property is justified if the undertaking for which the property is taken produces direct or indirect benefits to the public at large or to the section of the community. However, this view may open the way for unlimited interference by the government in the property right of citizens.

The second view holds that public purpose exists only where the undertaking for which the property is to be expropriated is to be directly used or enjoyed by the public, Such as schools, hospital, roads etc. Unlike the first view, this view proposes a strict interpretation of the concept and requires the public to be the direct beneficiary of the proposed undertaking and to which it shall have equal and direct access. In other words, expropriation for a purpose, which may indirectly benefit the public is not justifiable or is unlawful. Hence this view tends to limit the power of the government in expropriation private property.

When we examine the rules of the civil code in this regard, we find that the civil code does not provide the concept of public purpose. However, it clearly provides that the state may not expropriate private property solely for the purpose of generating income or financial benefits. Hence, generating revenue for the government does not constitute ‘public purpose’ and taking private property on this ground would be unjustifiable and unlawful. See Art 1464/1/ of the code. However, where the project for which the land is required would also benefit the local community/ the public/ by increasing the value of properties in the area the project shall be deemed to serve public purpose and expropriation is possible. See Art 1464/2/ of the code. It is also possible to argue that a proposed project would serve public purpose where it benefits the local community by creating job opportunities, creating market for raw materials...etc. In other words, indirect public benefit from the proposed project constitutes public purpose under the civil code.

According to Article 1463 of the Civil Code, the competent authorities must determine whether the project for which the land is required serves public purpose or not and a notice to this effect has to be published. In certain circumstances, public inquiry may be necessary before such declaration is made and published, i.e., the declaration will only be made after the public is consulted and interested person have expressed their views regarding the project. See Art 1465 of the code.

According to Art 2/5/ of the Expropriation of Landholdings for Public Purposes and Payment of Compensation Pro No 455/2005 a proposed project shall be deemed to serve public purpose where the appropriate body decides, pursuant to the urban structure or development plan;

1. That it ensures the right of the public to benefit directly or indirectly from the use of the, land
2. That it helps to achieve and consolidate sustainable socio-economic development.

Generally speaking, a project for which the land is required shall be declared to serve public purpose where it is believed to, directly or indirectly, benefit the public and where it is also believed that the project can contribute its share in the economic development of the country.

Similarly, according to Art 2/7/ of the Re-enactment of Urban Land Lease Holding Pro No 272/2002, ‘public interest’ means that which an appropriate body determines as a public interest in conformity with the master plan or development plan in order to continuously ensure the direct or indirect usability of land by peoples, and to progressively enhance urban development.

Under this proclamation, expropriation of urban land is allowed in order to implement the master plan or urban development plan and it is presumed that the public directly and indirectly benefits from the implementation of the plan.

The current proclamation regarding expropriation does not provide for such public inquiry or consultation with the public.

Compare Arts 89/6/ and 92/3/ of the FDRE Constitution, which require consultation of the public in the preparation and implementation of economic and environmental policies.

EXPROPRIATION PROCEDURES UNDER THE CIVIL CODE

The first step in the expropriation procedure under the civil code is to determine as to whether the proposed project serves a public purpose or not as we have seen in the preceding section. The competent authorities that are authorized by law to expropriate private property make the determination or declaration of public purpose. The competent authorities may hold, where it appears necessary, a public inquiry as to whether the proposed project serves public purpose. See Arts 1463 and 1465 of the code.

According Article 1466, after the declaration of public interest, the competent authority shall determine the land required for the implementation of the project, and personal notice shall be given to the owners, bare owners, usufructuaries of the immovable he intended expropriation. They are entitled to express their views on the necessity of such expropriation within a reasonable period of time. Where there is no opposition or the opposition is not accepted, the competent authorities shall make or issue the expropriation order. The order shall transfer the ownership and other rights on the immovable, free of any charge or encumbrance, to the competent authority concerned. Art 1467 of the code.

Expropriation orders, issued by the competent authorities, must be served on the owner of the immovable and other persons, if any, whose rights on the immovable are entered in the register of the immovable to be expropriated, i.e., the dominant owners who have servitude rights over the immovable, the usufructuary, the mortgagee, lessee...etc. See Art 1468 of the code.

The person whose property right is affected by the expropriation shall notify the competent authority the amount of compensation he claims for such rights with in a period of one month

from the date of service of the order. However, any interested person, such as a creditor, may object to the amount of compensation fixed below a certain amount or may oppose the payment of compensation in fraud of his rights. This opposition or objection shall be made within the period of one month from the date of service of the order. See Arts 1470 & 1471 of the code.

If the competent authority does not agree with the amount of compensation claimed by the person entitled, the amount to be paid shall be fixed by the Arbitration Appraisal Committee, which shall be constituted according to rules to be enacted. /Art 1472 and 1473/1/ of the code.

The committee will have the duty to fix the amounts of compensation but it cannot decide on disputes regarding the right giving rise to compensation. The amount of compensation or the value of replacement land shall be equal to the actual damage, which shall be assessed on the day when it makes the decision. See Arts 1473-1474 of the code.

The committee shall take into account, in fixing the amount of compensation or the value of the land to be given in replacement of the expropriated land, the claim or statement made by interested parties regarding the value of the properties or rights to be expropriated, and the increase of the value of the property as a result of construction of public works in the area. However, the committee shall not take into consideration any improvement or buildings on the land, which are made after the service of the expropriation order and any speculation of increase in the value of the immovable resulting from the proposed public work. See Art 1475 and 1476 of the code.

The competent authority or/and the person who is entitled to payment of compensation may appeal to a court, within a period of three months from date of service of the decision of the committee, against such decision. See Art 1477 of the code.

The authority shall take possession of the land only after paying the compensation. In case of appeal by the person entitled to the compensation against the amount fixed by the committee, it shall take possession of the immovable only after it has paid the fixed amount to the owner. See Arts 1478/1 & 2/ of the code. The court may not reduce the amount of compensation fixed by the committee. Where the court increases the amount of compensation, the competent authorities shall pay the additional amount. See Art 1478/3/ of the code.

Where the expropriated person is to be given a replacement land, with or without monetary compensation, the competent authority shall take possession of the land only after it hands over such land to the person. Where the appeal is lodged by the authority, the owner shall remain in possession of the land until the court gives the decision. If the decision is not given within a period of one year from the date of appeal and compensation is not paid, the expropriation order shall be invalid and the owner is not required to comply with it. See Art 1478/4/ of the code.

The court may increase the amount of compensation or order payment of additional compensation, in cash in case the owner was given replacement land. Such additional payment has to be made within a period of one month from the date of judgment. See Arts 1478-1479 of the code.

EXPROPRIATION PROCEDURES UNDER PRO NO 455/2005

Who has the power to expropriate?

Art 3 (1) of the proclamation provides that only a woreda administration, where the land to be expropriated is situated in rural areas, and a city administration, where the land to be expropriated is situated in urban areas, shall have the power to expropriate land. Generally, a land holding may be expropriated only where the project for the implementation of which the land is required serves public purpose. According to Art 2/5/ a proposed project is said to serve a public purpose where it is in accordance with urban structure plan or development plan, brings about a sustainable socio-economic development and, directly or indirectly, benefits the public.

Expropriation order may be made where a woreda or city administration or higher federal or regional government organs, decides that the land holding in question should be used for ‘ a better development project’ to be carried out by the government, public enterprises, private investors, co-operatives or other organs. Furthermore, expropriation order may be used to terminate a lease contract where the holder fails to comply with the obligations he undertook in the contract of lease and the relevant laws. See Art 3/1/ and /2/.

The woreda or city administration, which decided to expropriate a land holding according to Arts 2/5/ and 3, shall notify, in writing, the landholder of the expropriation order. The notice must indicate the time when the holder must vacate the land and the amount of compensation to be paid to him. The period within which the holder must vacate the land may not be less than 90 days. The landholder who has been given notice of the expropriation shall vacate his land within 90 days of the date of payment of compensation or from the date of deposit of the compensation in a blocked account to be opened in the name of the organ issuing the order where the holder refuses to accept the compensation. However, where there are no crops, trees or other properties in the land to be expropriated, the holder must hand over the land within 30 days of receipt of the expropriation order. The expropriating body may use police force to vacate and take possession of the land. See Art 4.

The implementing agency, w/c may be a federal or state organ or public enterprise, private investor, cooperative or any other organ intending to implement the project must prepare data relating to the land required for its use, its exact location and send to the woreda or city administration at least one year before commencement of the project and obtain the permission to use the land.

It shall also pay compensation to the person whose landholding is expropriated. See Art 5. Where utility lines, such as water, sewerage, telephone, electric or gas lines cross over or under the land required for the project, the implementing agency shall request, in writing, the owner of the lines to remove them. The request must indicate the exact location of the lines. The owner of the lines who received the request must determine the cost of removal and reinstallation of the lines and send details of its evaluation to the implementing agency with in a period of 30 days. The agency shall pay the compensation with in a period of 30 days from the date of receipt of valuation. The owner of the lines shall remove the lines and vacate the land within 60 days of receipt of compensation. See Art 6.

VALUATION OF COMPENSATION

Where the property to be expropriated is located in rural areas, the compensation to be paid shall be assessed by the committee consisting of not more than five experts having the relevant qualification and assigned by the woreda administration. However, where the land to be expropriated is situated in urban areas, a committee composed of experts with relevant qualification and assigned by the urban administration shall value compensation. Where the assessment of compensation requires special knowledge and experience, the woreda or urban administration shall assign experts having such special qualification. See Art 10.

A party dissatisfied with the amount of compensation determined by the committee may lodge his complaint to a tribunal established for the purpose or to a regular court having jurisdiction, where such tribunal does not exist in that urban center or where the land to be expropriated is situated in rural areas. The tribunal or the court before which such complaint is lodged shall give its decision with in the period of time to be determined by the region. Where a party is not satisfied with the decision of the tribunal or a court, he may appeal, within 30 days of the date of decision, to the regular appellate court. The decision of the appellate court shall be final. However, the person whose land is expropriated must prove that he has handed over the land to the woreda or city administration to be able to appeal. See Art 11.

PRINCIPLE AND AMOUNT OF COMPENSATION

A landholder whose holding is expropriated shall be entitled to,

1. Compensation for the property he produced on the land by his finance, labor and for permanent improvements he has made to such land. Such compensation shall be equal to the replacement cost of the property. However, compensation for permanent improvement on the land shall be equal to value of capital and labor expended.
2. The cost of removal, transfer and re-erection, where the property can be re-erected and resume its service such as floor mills, machinery and other type of property. See Art 7.

3. Displacement compensation, for a person whose rural landholding is permanently expropriated, which is equal to ten times the average annual income he earned during the last five years preceding the expropriation. However, where it is temporary expropriation of rural land holding or expropriation of communal holding, the displacement compensation shall be equal to the income he has lost because of the expropriation. The loss shall be calculated based on the average annual income he has earned during the five years preceding the expropriation. The compensation shall be payable for the period until the holding is returned to the holder. However, this compensation shall not exceed the amount payable in cases of permanent expropriation. Furthermore, where an appropriate replacement land, which can be easily cultivated and yield a comparable amount of produce, is granted to the holder displacement compensation shall be equal to the average annual income the holder generated during the five years before expropriation. See Art 8/1, 2 & 3/.

4. Displacement compensation for an urban holder shall be equivalent to the estimated annual rent of the house, or he shall be allowed to live in a comparable house, owned by the city administration, free of rent for a period of one year. He shall also be provided with replacement plot of land for the construction of a dwelling or business house. The size of replacement land shall be determined the urban administration concerned. See Art 8/4 & 5/.

5. Displacement compensation for a person whose urban leasehold is expropriated is paid in the form of a replacement land/ leasehold/ for a remainder of the lease period under the original lease contract. Where the person is not willing to accept a substitute land, he shall receive the lease price he has paid minus the price of the period he has used the land. See Art 8/6/.

- ❖ Note that displacement compensation is payable in addition to what is payable under Art 7.